FedCast

A forecaster for the next Federal Reserve rate decision, built to be judged by its process rather than its luck

[Your name] · Fullerton · October 2026

About me

[Your name]

[Role at Fullerton]

- [Background: markets, data, engineering]
- [What you do day to day]
- [Why you built this: the question you wanted answered]

What this session is

- A tool that forecasts the next FOMC decision from frozen evidence
- A method for deciding whether a language model can be trusted inside a forecasting process
- A live record: a forecast for 28 October 2026 is on file now
- Twenty minutes, then questions

The question, and today's answer

28 Oct 2026

the decision being forecast

71%

no change

23%

+25 bps hike

6%

the other three outcomes together

Where the number comes from

- One frozen snapshot of 22 evidence items, pulled 26 October: futures, eight FRED series, both statements, minutes, transcript, projections, speeches, 32 years of decisions, prediction-market odds
- Four models pooled by code with fixed weights: market-implied 0.6, the Fed's own Taylor rules 0.2, prediction-market odds 0.1, historical base rates 0.1; then a 1.5% floor on every outcome
- Five specialist analysts (a language model, tools off, every claim quoted and verified) lean the pooled number by a bounded 4.4 points toward a hike
- Ledger entry #16, hash-chained, replays exactly from its snapshot

Why build this

1

Judge the process, not the luck

Eight decisions a year is far too few to tell skill from chance. So the yardstick is a ten-dimension scorecard fixed before any code existed: repeatability, groundedness, leakage, directional sanity, noise invariance, coherence, auditability and more. Outcomes are logged and never used to tune.

2

A number you can audit

Every forecast runs on one fingerprinted snapshot. Every model lists the items it read. Every analyst claim carries a verbatim quote that code has matched. Every entry in the ledger recomputes exactly from its snapshot. Nothing moves the number silently.

3

A harness that transfers

The decision is the first target, not the only one. The same chain can forecast the December meeting, the year-end rate, or another central bank, and the control arms measure whether the language model is still earning its place.

What others do, and what each lacks

Predictor	What it is	Strength	What it lacks
Fed funds futures (CME FedWatch)	Price of the contract that settles on the month's average rate	About 88% right at 30 days over 1994 to 2024 (Bonini, Huang, Simaan). The anchor of our pool	No reasons. One number with no evidence trail; fails silently when the Fed surprises
Prediction markets (Polymarket, Kalshi)	Crowd odds on each outcome	Independent crowd; fast to move	Thin and fee-distorted; a $22 entry can sit next to a $67m one
Economist surveys	Median of polled forecasters	Human judgement, broad	Slow, unauditable, consensus-seeking
Policy rules (Taylor family)	Rate a formula says is appropriate	Transparent, the Fed's own benchmarks	Depends on unobservable r* and u*; says where rates should be, not what the committee will do
LLM 'FOMC agent' papers (2025)	Models that read Fed text and vote	Reported 90%+ accuracy on 2023 to 2024	16 meetings; no frozen evidence, no quote verification, no replay, no control arm
FedCast	All of the above pooled by code, plus verified analysts	Every number traceable; repeatable; a scorecard that catches drift	No live record yet; no accuracy claim at five weeks

Sources: Bonini, Huang and Simaan, 'Watching the FedWatch' (232 meetings, May 1994 to March 2024); FedSight AI preprint, December 2025; Takano, Hirano and Nakagawa, arXiv 2511.02469.

Our edge: not a better guess, a checkable one

Frozen evidence

One fingerprinted snapshot per forecast, dated in US time, data as first published. No internet, no memory. If it is not in the snapshot, nothing may read it.

Code computes, models read, code checks

Arithmetic is done by code. The language model is used only for reading text, and every claim it makes must quote a snapshot item; code string-matches the quote and flags any number not in the evidence.

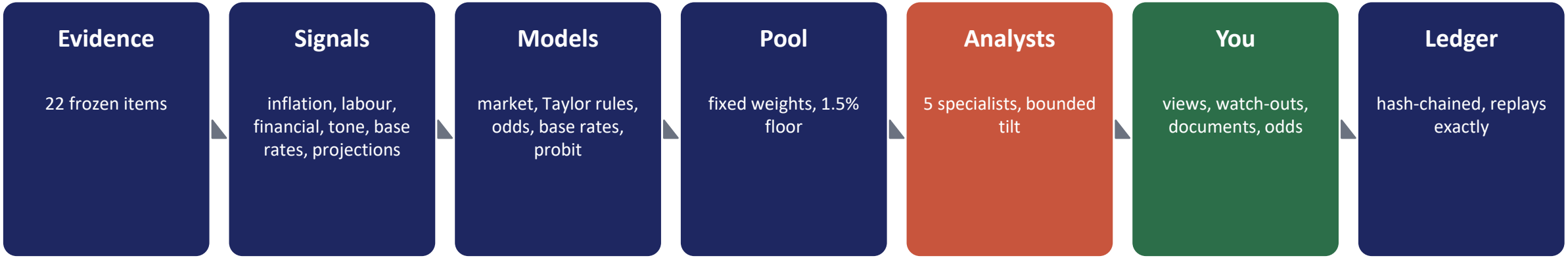
Human judgement through typed channels

Views tilt the number by a capped amount and expire. Watch-outs must be answered by id. Documents and odds enter as evidence. Nothing nudges the number quietly.

Pre-registered, amended in the open, replayable

The scorecard, weights, floor and every model rule are hashed and pinned in the tests. Seven logged amendments. Every ledger entry recomputes from its snapshot.

One chain, left to right



Signals are computed, not asked: the analysts are handed the numbers code has already worked out. Everything a model could compute, code computes. The language model reads the words.

Today's readings: from five models to one number

Model	What it reads	−25	no change	+25	+50	weight
Market-implied	November fed-funds future against the overnight rate: +2.5 bp expected	0	90	10	0	0.6
Taylor family	12-month core PCE 3.0%, unemployment 4.2%, four rules × nine r*/u* pairs	9	44	40	7	0.2
Prediction market	Polymarket, 26 Oct, $67m traded	0	95	4.5	0	0.1
Historical base rates	What followed a hike at the 49 meetings since 1994 that came after one	0	35	52	13	0.1
Pooled	Weighted average, then the 1.5% floor	**1.8**	**74.7**	**19.4**	**2.6**	
Specialists' tilt	+4.4 bp hawkish, mean of five: 4.4 points moved toward the hike outcomes					
Machine forecast	Ledger entry #16	**1.4**	**71.3**	**22.6**	**3.8**	

Percentages, rounded. The ordered probit is computed and shown but carries weight 0 until it has a live record.

Eight analysts, one model, four arms

A

Analyst 1: naive

The question and the date. Nothing else.

What the model does on its own. The control every other arm is measured against.

B

Analyst 2: evidence shown, nothing verified

Every document and every pre-computed number, 128,000 characters. Free-form answer.

Adds the evidence. Shows what evidence alone fixes, and what it does not.

C

Analyst 3: generalist with verifier

Same evidence, but a fixed answer shape: a verbatim quote per claim, a watch-out report, a tilt capped at ±10 bp. Code checks every quote and number.

Adds structure and verification. This is where the output becomes stable and checkable.

D

Analysts 4 to 8: specialists

One slice each: communications, minutes, inflation, labour, financial conditions. Same schema, same verifier.

Adds specialisation. Each judgement is attributable to its evidence; a dissent survives instead of being averaged away.

Each arm adds one technique. The value of the technique is the difference between neighbouring arms.

What the harness enforces around every analyst

1. **Tools off, slice only**

   The model sees its slice of the frozen snapshot and nothing else: no browsing, no memory of the Fed, no other analyst's output.

2. **Pre-reads**

   Numbers are computed by code and handed over: inflation gap, labour slack, financial conditions, tone, base rates. The model never does arithmetic.

3. **Fixed answer shape**

   Claims, each with a verbatim quote and the item it came from; a report on every watch-out by id; a tilt bounded to ±10 basis points. Enforced by the runtime.

4. **Code verifies**

   Every quote is string-matched to its item. Every number is matched to the snapshot. Every watch-out must be answered. Failures are counted, never hidden.

5. **Recorded and repeated**

   Five identical runs per analyst per snapshot, each stored with its prompt hash. Repeatability is measured, and a recorded run replays for free.

The ladder, three snapshots, five runs each

Dimension (pass mark)	Arm A: naive	Arm B: evidence shown	Arm C: generalist + verifier	Arm D: specialists
S1 Repeatability (≤ 2 pp) max move of any probability across 5 identical runs	**3.4 / 4.5 / 4.9 pp, fail**	**3.3 / 2.3 / 4.8 pp, fail**	**0.6 / 0.5 / 0.5 bp of tilt, pass**	**0.5 / 0.8 / 1.2 bp of tilt, pass**
S2 Groundedness (≥ 95%) share of claims whose quote code found in the evidence	**0%, fail**	not measurable: no quotes	**100% on all three, pass**	**100 / 97 / 100%, pass**
S3 Leakage (exactly 0) numbers in the answer that are not in the snapshot	**36 / 36 / 39, fail**	**0, pass**	**0, pass**	**0, pass**
What it concluded	Cut 25 bps at 57%: its memory of the Fed is stale	+25 bps at 55 to 57%: reads the evidence, overshoots the market	+7.0 / +6.6 / +6.4 bp hawkish	+4.4 / +4.1 / +4.4 bp hawkish; labour the lone non-hawk

Snapshots of 15, 24 and 26 October 2026. Arms C and D report S1 in basis points of tilt because they output a lean, not a distribution.

What the specialists said on 26 October

Analyst	Reads	Lean (5 runs)	Verified
4 Communications	Both statements, minutes, transcript, speeches, tone pre-read	**+6.0 bp hawkish**	100%, 0 leaked
5 Minutes digest	The minutes only	**+6.6 bp hawkish**	100%, 0 leaked
6 Inflation	Inflation pre-read, projections, both statements	**+6.4 bp hawkish**	100%, 0 leaked
7 Labour market	Labour pre-read, projections, both statements	**–0.4 bp, neutral**	100%, 0 leaked
8 Financial conditions	Financial pre-read, base rates, both statements	**+3.4 bp hawkish**	100%, 0 leaked

One claim, as recorded

Communications analyst: the deterministic tone read scores the most recent policy communication as fully hawkish, with a unanimous hike vote and no dovish lexicon hits.

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Quote: "score": 1.0   Item: signal.tone
Verified by code
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The pre-read is our arithmetic over the two statements: 12 votes for, none against, eight hawkish words, no dovish ones. The analyst quoted it and code found the quote.

The scorecard: eight of ten dimensions measured by code

S1 Repeatability
measured by code

S2 Groundedness
measured by code

S3 Leakage
measured by code

S4 Directional sanity
measured by code

S5 Noise invariance
measured by code

S6 Paraphrase stability
typed inputs only

S7 Coherence
measured by code

S8 Reasoning quality
not built: rubric grader

S9 Auditability
measured by code

S10 Human-input discipline
measured by code

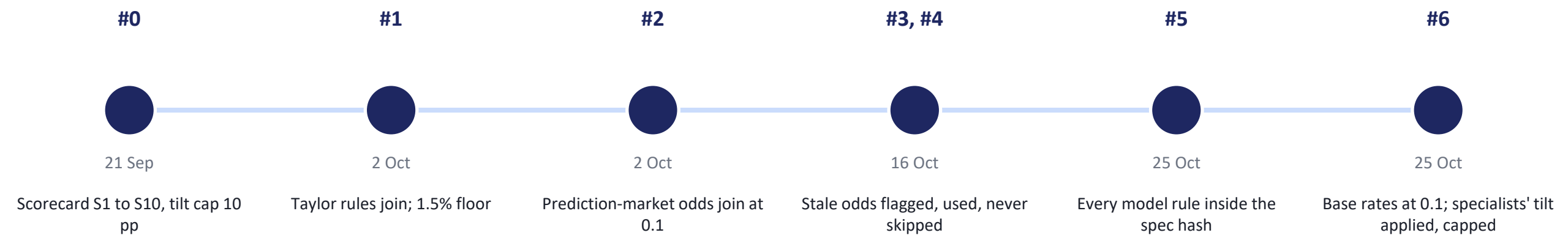
Measured by code on the 26 October snapshot

- S4: 7 shocks, one input each, the pool must move the right way: 7 of 7
- S5: 5 irrelevant changes to the snapshot: 0.0 points moved
- S7: all 17 ledger entries coherent and attributable
- S9: entries under the current spec recompute exactly: 3 of 3

What it has already caught

- Four ledger entries stopped replaying after a model rule changed outside the hashed spec. Amendment #5 put every rule inside the hash; earlier entries are now labelled, not failed.
- A shock test was perturbing the wrong odds entry once two were on file. A red cell on the drift table pointed straight at it; fixed with a unit test the same hour.

Governance: pre-register, amend in the open, replay



17

ledger entries, hash-chained

7

amendments, each with its reason

108

tests, spec hash pinned

0

numbers tuned on outcomes

What this does not claim

No live record yet

The first decision this system is scored on is 28 October 2026. Everything so far is process evidence, which is the point, but calibration needs a record.

Weights are judgement

Market 0.6, Taylor 0.2, odds 0.1, base rates 0.1, the floor and the tilt mapping were set by reasoning and logged, never fitted. Candidate sets will be pre-registered and scored live.

The fitted model is outside

A first ordered probit failed its out-of-sample gate and was reported, not tuned. Version 2 beats the base rate but carries a contamination caveat, so it stays at weight 0.

Small, unbalanced history

About 130 decisions with full features, roughly 250 in all; 68% are holds and cuts cluster in three episodes. That is why there is no gradient-boosted anything.

Not every dimension yet

Reasoning quality (S8) needs a rubric grader checked against hand grades; the reworded-prompt test for the analysts is not built.

The market is the anchor

At thirty days futures call most decisions. The claim is auditability and discipline, not a better hit rate at this horizon.

Follow-ups, in order of value

1 Score live decisions

From 28 October, a log score per model and per track is written to the ledger by code. Every weight decision waits on this record.

2 Longer windows, same chain

The December meeting and the year-end rate. The market is less certain there (Polymarket prices a December hike at 76%), so evidence reading has more to add. The chain needs only a different target.

3 An events agent for regime shifts

1987, 1998, 2008, 2020: the Fed cut because of financial stress, not the data. A watch-out agent that scans the last three months for bank failures, funding stress and market dislocations, and raises a typed watch-out every analyst must answer.

4 Pre-registered weight sets

Three or four candidate weight sets written down now, all scored on each live decision; the live set changes only by amendment on that record.

5 Reasoning quality, S8

Twenty traces hand-graded on four questions; a model grader trusted only once it agrees with those grades.

6 Arm F and a second model family

A hawk, a dove and a synthesiser on the ladder; a second model family as a cross-check that the harness, not the model, is doing the work.

Three things to take away

- The harness is the product. Same model, same evidence, same day: naive it wobbles and leaks; harnessed it is stable, quoted and checked.
- Judge the process. Eight decisions a year cannot prove skill; a pre-registered scorecard measured on every snapshot can show discipline and catch drift.
- The ask: scrutinise the scorecard, suggest the next window, and tell us which other decisions deserve the same chain.